

quently able to carve out a special niche for itself and do much better than its competitors. That niche can be geographical, like that enjoyed by a regional bank, utility, or railroad. It can be technological, based on patents and know-how. Sometimes the niche is sim-

Corporate Growth, Nature's Way

Most investors, whether they are interested primarily in large companies or in small ones, focus on growth. They want the ones that are getting bigger and, presumably, more profitable. The idea of economic growth we fixate on, however, is only about two centuries old. Nature has been working on problems of growth, differentiation, and survival for more than 600 million years, a period more than long enough for living creatures to try every growth strategy. It seems reasonable to assume that biology might provide an array of growth strategies that would be powerful metaphors for changes that take place in the structures of corporations.

Let us consider an ambitious young cell of 600 million years ago. She has just gotten her MBA (Model for Biological Activity) and wishes to experience personal growth. She has four basic strategies, all of which have worked well in nature. We will look at them and at analogous corporate strategies, using a hamburger stand, Harry's Hamburger Heaven, as an example.

Expansion. The first method is to simply expand as a single cell. Simplicity is an advantage, for no new structural form must be invented. The disadvantage is that cell life depends on nutrient transfer through the cell wall,